IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.10

C.P.(CAA)/56(AHM)2022 in
C.A.(CAA)/27(AHM)2022

Proceedings under Section 230-232

IN THE MATTER OF:

Gandhinagar Hospitalities Pvt Ltd **.....Applicants**
United Eduplus Pvt Ltd

Order delivered on: 11/09/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CP (CAA) No. 56 of 2022
in
CA(CAA) No. 27/NCLT/AHM/2022

[Application under Sections 230-232 of Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

Scheme of Arrangement

Between

Gandhinagar Hospitalities Private Limited

(Demerged Company)

And

United Eduplus Private Limited

(Resulting Company)

And

Their respective Shareholders and Creditors

In the matter of:

Gandhinagar Hospitalities
Private Limited
(CIN: U55101GJ2011PTC125942),
a Private Limited Company incorporated
under the Companies Act, 1956
having its registered office at,
Plot No. 235, Hotel Haveli,
Sector 11 , Gandhinagar
Gujarat 382011

...Petitioner Company No.1 /
Demerged Company.

And

United Eduplus Private Limited,
(CIN: U80302GJ2012PTC070010)
Company incorporated under
the Companies Act, 1956,
having its registered office at LS NO 1797,
Uvarsad B/H Karnavati Campus
Gandhinagar Gujarat 382422

...Petitioner Company No.2 /
Resulting Company

Order Pronounced on: 11/09/2023

Coram: Mr. Shammi Khan, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

Appearance:
Ms. Dharmishta Raval, Advocate for the Petitioner.
Ms Maithili Mehta, Adv. for the Income Tax.

O R D E R

1. The present petition has been filed by Petitioner Companies under Sections 230-232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamations) Rules, 2016 seeking approval of the Scheme of Arrangement for the demerger hospitality business unit of Gandhinagar Hospitalities Pvt. Ltd. ("Petitioner Demerged Company") into United Eduplus Private Limited, (**"**Petitioner Resulting Company") and their respective Shareholders and Creditors with

the effect from 01st April 2021, being the Appointed Date as mentioned in the Scheme.

2. An Affidavit has been sworn by Mr. Yogesh Jimudia on behalf of the Petitioner Companies who is the authorized signatory of the Petitioner Companies, and the same is annexed with the Petition.

3. With effect from the Appointed Date and upon the Scheme of becoming effective, the whole of Hospitality business undertaking of GHPL, pursuant to the provisions of Sections 230 and 232 and all other applicable provisions of the Act and in compliance of Section 2(19AA) of the IT Act and without any further act, instrument, deed matter or thing, shall stand transferred to and vested in, as a going concern, so as to vest with, the Resulting Company all rights, title and interest pertaining to Hospitality business undertaking of GHPL.

4. The Petitioner Company had filed a joint application before this Tribunal being CA(CAA) No. 27(AHM)2022, seeking dispensation of the meeting of Equity Shareholders and Secured Creditors of the Petitioner Demerged Company as well as Secured Creditors also of the Petitioner Resulting Company. Directions were also sought for convening the meeting of Unsecured Creditors of the petitioner Demerged Company and Equity shareholders, Preference Shareholders and Unsecured Creditors of the Petitioner Resulting Company.

5. By an order dated 21.06.2022 passed in CA(CAA) No. 27 of 2022, this Tribunal dispensed with the meetings of Equity

shareholders and Secured Creditors of the Demerged Company and Secured Creditors of the Resulting Company. The meetings of Unsecured Creditors of the Petitioner Demerged Company was directed to be held on 01.08.2022 and the Equity shareholder, Preference shareholders and Unsecured Creditors of the Resulting Company were directed to be held on 01.08.2022, for the purpose of considering and if thought fit, approving, with or without modification(s) the proposed Scheme of Arrangement, by publishing advertisement of meeting at least one month before the date of meeting in "Free Press" English daily and Gujarati translation thereof in "Lok Mitra".

6. This Tribunal appointed Mr. Mehul Rajput, Chartered Accountant and Mr. Gaurang R. Shah, Scrutinizer of the aforesaid meetings and gave further directions to comply with various stipulations contained in order including Filing of the Chairman's Report. Further, to ensure compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (CAA) Rules, 2016, directions were given to the Petitioner Companies to send notice of meeting under sub-section(3) of Section 230 read with Rule 6 of the Companies (CAA) Rules, 2016 in Form No. CAA.3 along with a copy of the Scheme of Arrangement, explanatory statement and the disclosure mentioned under Rule 6 to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat (iii) the Income Tax Authority, stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme of Amalgamation.

7. In compliance with the directions for convening the meetings, separate meetings were duly convened on 01.08.2022 for the Unsecured Creditors of the Demerged Company and Equity Shareholders, Preference Shareholders and Unsecured Creditors of the Resulting Company. The Chairman appointed for the said meetings filed his reports on 02.08.2022. The said reports confirmed the approval of the proposed Scheme unanimously by the Unsecured Creditors of the Demerged Company and Equity Shareholders, Preference Shareholders and Unsecured Creditors of the Resulting Company.

8. The Petitioner Companies have jointly filed the present Company Petition being CP (CAA) No.56 of 2022 before this Tribunal seeking sanction of the Scheme.

9. The Petitioner Companies have placed on record the valuation report.

10. The Petitioner companies have also filed their audited financial statements as on 31st March 2020 and 31st March 2021.

11. The copies of Board Resolutions of the Petitioner Companies approving the Scheme of Arrangement are annexed to the petition. An affidavit is filed by Shri Yogesh Jimudia, being authorized representative of the Petitioner Companies stating that no investigation proceedings are pending against the petitioner companies under Sections 235-251 of the Companies Act,1956 or Sections 210-226 of the Companies Act, 2013. Also, no winding-up proceedings are pending against the Petitioner Companies.

12. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, both the Petitioner Companies have placed on record the Certificates of respective statutory auditors confirming that the accounting treatment envisaged under the Scheme of Arrangement in compliance with the applicable accounting standards notified by the Central Government in Section 133 of the Companies Act, 2013.

13. This Tribunal by order dated 05.09.2022, admitted the petition and directed for publication of hearing of the Petition in "Free Press" in English and "Lok Mitra" in Vernacular language both in Ahmedabad edition not less than ten days before the date fixed for hearing, calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue a notice of hearing of the petition to Regional Director, Registrar of Companies and Income Tax Authority.

14. Pursuant to the order dated 05.09.2022 passed by this Tribunal, the Petitioner Companies published the notice of hearing of Company Petition in English newspaper namely, "Free Press" and in Vernacular newspaper namely, "Lok Mitra" both in Ahmedabad edition on 16.09.2022. Petitioner Companies also filed respective compliance affidavits.

The affidavit of service, on behalf of the Petitioner Companies, dated 10.10.2022 has been filed on 19.10.2022 confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition has been served upon all the concerned statutory authorities.

15. In response to the notice upon the Regional Director (RD), a Representation dated 23.08.2022 was filed by the RD, North – Western Region, along with the report from the Registrar of Companies (RoC), on 14.09.2022. Their observations are as follows:-

i. To direct the petitioner companies to undertake the compliance of Section 2(19AA) of the Income Tax Act in the matter, since this is a scheme of demerger.

ii. To direct the companies to submit the complete list and full details of assets and liabilities in this regard pertaining to the proposed demerged undertaking, with the scheme.

iii. To direct the petitioner companies to clarify the observations made by ROC in his reports and place on record all the relevant facts of the matter.

iv. To direct the applicant companies to pay such amount of legal fees/cost to the Central Government which may be considered appropriate by this Hon'ble NCLT.

16. The Petitioner Companies has filed an affidavit in reply dated 05.10.2022 has been filed on 12.10.2022 in response to observations made by Regional Director and RoC as under:-

i. With reference to paragraph 2(a), 2(b), 2(c), 2(f), 2(h), 2(j) of the RD representation, the contents thereof do not require any comments.

ii. With reference to paragraph 2(d) of the RD representation, the Petitioner Transferee Company undertakes to comply with the provisions of Section 2(19A) of the Income Tax Act

iii. With reference to paragraph 2(e) of the RD representation, the Petitioner Company annexes herein as Annexure 1 the list of assets and liabilities which are proposed to be demerged on the sanction of the scheme by this Hon'ble Tribunal

iv. With reference to paragraph 2(g) of the ROC representation, the Petitioner Company makes the following submissions

v. It is submitted that the demerged company and the resulting company have availed of financial assistance of an amount of Rs 58,529/- from ICICI Bank and the petitioner Resulting Company have availed of a loan of Rs 99,76,180/- from ICICI Bank and Rs1,23,94,053/- from Kotak Mahindra Bank for the purchase of vehicles. The said vehicles have been hypothecated to the ICICI Bank and Kotak Bank. The factum of hypothecation has been reflected in the RC book of the vehicle. Hence it was not felt necessary to file creation of charge as per Section 77 of the Companies Act with the Registrar of Companies .However ICICI Bank in the case of Petitioner Demerged Bank and ICICI Bank and Kotak Bank in the case of Petitioner Resulting Company are secured creditors. Hence the demerged company has stated that there are 2 secured creditors and the resulting company has stated that there are 3 secured creditors even though in the records of the

ROC there is 1 secured creditor of the demerged company and 2 secured creditors of the Resulting Company. Further the Petitioner Demerged Company and Petitioner Resulting Company has obtained consents from all the secured creditors.

vi. In view of the established single window concept and principle which has also been approved by the Hon'ble Supreme Court it is submitted that the petitioner companies are not required to follow a separate procedure under section 61 read with Section 64 of the Companies Act. However the Petitioner Companies undertake to file the necessary forms and make payment of the requisite fees on increase of the authorised capital.

vii. With reference to clause 2(g)(3) of RD report, the Petitioner Companies undertake to preserve their books of accounts, papers and records and it shall not dispose of without prior approval of the Central Government as per Section 239 of the Companies Act.

viii. With reference to clause 2(g)(4) of RD 22 report, the Petitioner Companies undertake to ensure statutory compliance of all the applicable laws and on the sanctioning of the Scheme, it shall not absolve from any statutory liability, in any manner.

ix. With reference to clause 2(g)(5) of RD report the Petitioner Companies undertake to pay the necessary Stamp Duty to

the respective authorities on the transfer of property or assets pursuant to the Scheme of Arrangement

x. With reference to clause 2(g)(6) of RD report the Petitioner Companies undertake to file certified copy of the order sanctioning the Scheme with the Registrar of Company within 30 days from the date of passing of order and undertakes to comply with the provision of Section 232(5) of the Companies Act, 2013

xi. With reference to clause 2(i) of the RD representation, the Petitioner Companies undertakes to pay such legal fees to the Central Government as is quantified by this Hon'ble Tribunal.

17. The petitioner Companies have also filed a further affidavit giving details regarding the approval of the Scheme of Arrangement by this Tribunal the Hospitality Business of the Petitioner Demerged Company will be demerged with the Resulting Company and the Demerged Company will continue with the business of running the Liquor shop.

18. In response to the notice served upon the Income Tax Department, a Representation was filed by the Income Tax Department dated 28.04.2023 filed on 01.05.2023. Their observations are as follows:

a. The A.O. has submitted that vide letter dated 21.09.2022, a strong objection was raised against this scheme. In consequence to these objections, the assessee has filed a rejoinder affidavit dated 09.01.2023 in Hon'ble NCLT, Ahmedabad. Further, the assessee has relied upon the decision of Hon'ble NCLT in case of CP(CAA)57/AHM/2021 in support of its cloim. In this regard, the AO has submitted that both of the companies in question in that case le. M/s Pangenomics Infomational Private Limited and M/s. Sterling Accuris Wellness Pvt Ltd were in the same line of business. However in the present case, resultant entity is in business of education and through demerger it is acquiring hospitality business. Thus, the business being acquired through demerger has no relevance with the business of the resulting company. As both the companies are in different line of business, this scheme of arrangement is not for business synergy but a planning for tax evasion. Therefore, facts of the case law of Hon'ble NCLT as relied upon by the assessee are different from the instant case of the assesse.

b. The AO in his report dated 21.09.2022 had elaborately discussed that this scheme is just a preconceived tool designed for the purpose of tax evasion having no commercial substance. The demerged entity (M/s Gandhinagar Hospitalities Pvt Ltd is a perpetually loss making entity and the resulting entity (M/s. United Eduplus Pvt Ltd) is making profit. Therefore, M/s. United Eduplus Pvt Ltd. is buying loss from M/s Gandhinagar

Hospitalities Pvt Ltd. in the guise of demerger. This scheme is in the nature of colourable device aimed at tax evasion.

c. Further, M/s. Gandhinagar Hospitalities Pvt. Ltd. has been found to be engaged in the act of taking/giving accommodation entry and notice u/s. 148 of the IT Act has been issued by the AO for A.Y. 2015-16. Therefore, it is believed that the loss accumulated in M/s. Gandhinagar Hospitalities Pvt. Ltd. is artificial loss through accommodation entry and the same loss is being transferred to M/s. United Eduplus Pvt. Ltd. for setting off against the income of M/s. United Eduplus Pvt. Ltd. thereby evade tax liability.

d. Without prejudice to the above, even if Hon'ble NCLT proceeds with approval of this scheme of demerger, it is hereby informed that department would be at the liberty to invoke the provisions of GAAR in accordance with the provisions of section 144BA of the Act. It is further submitted that the Income Tax Department reserves its rights to invoke the provisions of income tax Act in any proceedings subsequent to the Arrangement, if happens, to bring to tax in any income arising as a result of the said Scheme of Arrangement in case of above company. Its respective shareholders, creditors.

19. Another Representation was filed by the Income Tax Department dated 21.09.2023 filed on 29.11.2023. Their observations are as follows:

i. Further books of accounts of the demerged entity (M/s Gandhinagar Hospitalities Pvt Ltd) as well as resulting entity (M/s United Eduplus Pvt Ltd) has been verified and the following observations are made:

A. The demerged entity (M/s Gandhinagar Hospitalities Pvt Ltd) is a perpetually loss-making entity. The total loss accumulated in reserve and surplus is Rs. 11,53,02,308/-

B. During the financial year ending 31.03.2021, the demerged entity (M/s Gandhinagar Hospitalities Pvt Ltd) has loss of Rs. 6,13,37,705/-.

C. As per the ITR for AY 2020-21, It is seen that M/s Gandhinagar Hospitalities Pvt Ltd has carry forward loss of Rs. 3,06,28,800/- and unabsorbed depreciation of Rs. 9,06,93,610/-

D. The resulting entity (M/s United Eduplus Pvt Ltd) is making profit. The total profit accumulated in reserve and surplus is Rs. 155,68,15,765/- as on 31.03.2021.

E. During the financial year ending 31.03.2021, the resulting entity (M/s United Eduplus Pvt Ltd) has profit of Rs. 8,50,43,909/-

ii. From the above, it is noted that the M/s United Eduplus Pvt Ltd is buying loss from M/s Gandhinagar Hospitalities Pvt Ltd in the guise of demerger. This loss will be carried forward and set off from the profit of the assessee company under the provisions of section 72A. Thereby. M/s United Eduplus Pvt Ltd is trying to evade payment of taxes on its income. This can be further elaborated as under:

iii. During FY 2020-21, M/s United Eduplus Pvt Ltd has profit of Rs. 8. 50,43,909/-. The tax liability on this income will be Rs. 2,89,06,425/- (33.99%). However, after buying the loss from M/s Gandhinagar Hospitalities Pvt Ltd, which has accumulated loss of Rs. 11,53,02,308/-, the tax liability on M/s United Eduplus Pvt Ltd on this amount of Rs 11,53,02,308/- will become Nil/- during future Assessment years, leading to tax evasion of about Rs 3,91,91,255/- during future Assessment years

iv. From the above, it is clear that the scheme of demerger is in the nature of colorable device aimed at tax evasion.

v. Further, it is noted that M/s Gandhinagar Hospitalities Pvt Ltd has been found to be engaged in the act of taking/giving accommodation entry. It has been found through Search and Survey action u/s 132 and 133A of IT Act 1961, on 08.03.2017 at the residential and office premises of Sh. Puneet Kulthia, C.A, that M/s Gandhinagar Hospitalities Pvt Ltd, has provided accommodation entry of Rs 75,00,000/- to M/s Uniworld Edutech Private Limited during FY 2014-15. In this regard, it is submitted that necessary action (re-opening assessment) under the Income Tax Act has been taken by this office by passing order under Section 148A(d) of the Act for AY 2015-16. (Copy of this 148A(d) order has been enclosed). In view of these facts, it is believed that the loss accumulated in M/s Gandhinagar Hospitality Pvt ltd is artificial loss through accommodation entry and the same loss is being transferred to M/s United Eduplus Pvt Ltd for setting off against the income of M's

United Eduplus Pvt Ltd and thereby evade tax liability. Thus, it is evident that the assessee company, i.e. M/s United Eduplus Pvt Ltd, is buying loss from M/s Gandhinagar Hospitality Pvt ltd through demerger.

vi. Further, it is noted that M/s United Edutech Private Limited is in the business of education. Through the demerger, it is acquiring hospitality business of M/s Gandhinagar Hospitality Pvt ltd. Thus it is noted that the business being acquired through demerger has no relevance with the business of the resulting company. Both the companies are in different line of business. Hence this scheme of arrangement is not for business synergy, but a planning for tax evasion.

vii. From the above discussion, it is clear that the scheme of amalgamation is a tax planning in the nature of colorable device aimed at tax avoidance. It was held by the Hon'ble Supreme Court in the case of McDowell and Company Limited v. Commercial Tax officer [154 ITR 148] that, "Colorable Devices cannot be part of tax planning...". Therefore, such colorable device should not be allowed.

20. The Petitioner Company has filed common affidavit in reply dated 09.01.2023 has been filed on 17.01.2023 in response to observations made by Regional Director and RoC as under:-

i. Gandhinagar Hospitalities Private Limited is engaged in Hospitality Business and is presently operating and managing Hotel Fortune Inn Haveli in Gandhinagar. Both the companies i.e. Gandhinagar Hospitalities Private

Limited and United Eduplus Private Limited are owned and controlled by same set of Promoters.

ii. The Scheme provides for demerger of Hospitality Business Undertaking of Gandhinagar Hospitalities Pvt Ltd to United Eduplus Private Limited. The object of the Scheme is inter alia to attain the following benefits:

- Consolidation of business and operations
- Optimum utilization of resources
- Enhanced management focus and operational flexibility
- Achieving administrative and operational convenience
- Creating stronger entity which may help for future fund raise / strategic investment

iii. The Scheme will be in the long-term interest of the Companies, employees and other stakeholders.

iv. Thus, the Scheme will facilitate above mentioned commercial objectives. The Hon'ble office of Regional Director and the Registrar of Companies have accepted the same and not raised any objections to the proposed Scheme. Further, we have also received no-objection from concerned tax office of Gandhinagar Hospitalities Private Limited (Demerged Company). Therefore, it is humbly submitted that the proposed Scheme cannot be said to be for tax avoidance.

v. The treatment of carrying forward and set off of accumulated loss and unabsorbed depreciation allowance in amalgamation or demerger etc. of companies are clearly spelt out and codified under Section 72A of the Income Tax Act, 1961 read with Rule 9(C) of the Rules. These provisions are sufficient to protect the interest of revenue in any case of amalgamation or demerger, etc.

vi. The Hon'ble NCLT had an occasion to consider the very objections which are raised by the Income-tax Department in the case of CP(CAA) 57/AHM /2021 (M/s. Pangenomics International Private Limited). For convenience's sake, the relevant paras are extracted hereunder:

Para 10

(iv) *The petitioner companies further stated that it is settled law that mere fact that a scheme may result in reduction of tax liability does not furnish a basis for challenging the validity of the scheme. Petitioner companies relied upon the judgement passed by the Hon'ble Gujarat High Court in the case of Vodafone Essar Gujarat Ltd. Vs. Department of Income-Tax CP No. 183 of 2009, OJ Appeal No. 81 of 2010 & CA No. 254 of 2009 decided on August 31, 2012. The relevant para of the said judgement is reproduced below:*

Para 43….in case the scheme is sanctioned, it may result into tax avoidance on the part of the appellant, but it is required to be noted that even if the ultimate effect of the scheme may result into some tax benefit or even if it is framed with an object of saving tax or it may result into tax avoidance, it cannot be said that the only object of the

scheme is tax avoidance. Considering the various clauses of the scheme it is not possible for us to come to a conclusion that the scheme is floated with the sole object of tax avoidance. In its commercial wisdom if the company has decided to have a particular arrangement by which there may be even benefit of saving income-tax or other taxes, that itself cannot be a ground for coming to the conclusion that the sole object of framing the scheme is to defraud the Income-tax Department or other taxing authorities. It is also required to be noted that identical schemes have been approved by various High Courts as pointed out earlier. As per the scheme, it proposed to demerge the passive infrastructure assets of seven transferor-companies and transfer them to the transferee company. The transferor companies and the transferee-company are wholly owned and subsidiary of transferee-company, viz., Vodafone Essar Mobile Services Ltd. One of the objects for framing of the scheme is segregation of passive infrastructure business and telecommunication services business is to enable further growth and maximise value in each of the businesses.

(v) Another Judgement relied upon by the petitioner companies is in the matter of Joint Commissioner of Income Tax (OSD), Circle (3)(3)-1, Mumbai Vs. Reliance Jio Infocomm Ltd. & Ors. Company Appeal (AT) No. 113 of 2019. In the said order passed by the Hon'ble National Company Law Appellate Tribunal, on similar facts, the Hon'ble NCLAT has sanctioned the scheme of arrangement. The relevant extracts of the said judgement are reproduced below:

"38. Mere fact that a Scheme may result in reduction of tax liability does not furnish a basis for challenging the

validity of the same. In the Division Bench of the Hon'ble Gujarat High Court in "Vodafone Essar Gujarat Ltd. v. Department of Income Tax (2013) 176 Com Cas 7 (Guj)" while rejecting the similar objection of the Income Tax Department held:

…

"49. Both the learned counsel have relied upon the decision of the Supreme Court in the case of Miheer H Mafatlal v. Mafatlal Industries Limited (1996) 87 Comp Cas 792 (SC). In the said case it has been held by the Honourable Supreme Court that the sanctioning court has to see to it that all the requisite statutory procedure for supporting such a scheme has been complied with and that the requisite meetings as contemplated by Section 391(1)(a) have been held, whether the Scheme of compromise or Arrangement is not found to be violative of any law and not contrary to the public policy. The Supreme Court has laid down the following broad contours of such jurisdiction: "1. The sanctioning court has to see to it that all the requisite statutory procedure for supporting such a scheme has been complied with and that the requisite meetings as contemplated by Section 391(1)(a) have been held. 2. That the scheme put up for sanction of the Court is backed up by the requisite majority vote as required by Section 391 Sub-Section (2). 3. That the concerned meetings of the creditors or members or any class of them had the relevant material to enable the voters to arrive at an informed decision for approving the scheme in question. That the majority decision of the concerned class of voters is just and fair to the class as a whole so as to legitimately bind even the dissenting members of that class. 4. That all necessary material indicated by Section 393(1)(a) is placed

before the voters at the concerned meetings as contemplated by Section 391 Sub-section (1). 5. That all the requisite material contemplated by the proviso of Sub-section (2) of Section 391 of the Act is placed before the Court by the concerned applicant seeking sanction for such a scheme and the Court gets satisfied about the same. 6. That the proposed scheme of compromise and arrangement is not found to be violative of any provision of law and is not contrary to public policy. For ascertaining the real purpose underlying the Scheme with a view to be satisfied on this aspect, the Court, if necessary, can pierce the veil of apparent corporate purpose underlying the scheme and can judiciously X-ray the same 7. That the Company Court has also to satisfy itself that members or class of members or creditors or class of creditors, as the case may be, were acting bona fide and in good faith and were not coercing the minority in order to promote any interest adverse to that of the latter comprising of the same class whom they purported to represent. 8. That the scheme as a whole is also found to be just, fair and reasonable from the point of view of prudent men of business taking a commercial decision beneficial to the class represented by them for whom the scheme is meant. 9. Once the aforesaid broad parameters about the requirements of a scheme for getting sanction of the Court are found to have been met, the Court will have no further jurisdiction to sit in appeal over the commercial wisdom of the majority of the class of persons who with their open eyes have given their approval to the scheme even if in the view of the Court there would be a better scheme for the company and its members or creditors for whom the scheme is framed. The Court cannot refuse to sanction such a scheme on that ground as it would otherwise

amount to the Court exercising appellate jurisdiction over the scheme rather than its supervisory jurisdiction. The aforesaid parameters of the scope and ambit of the jurisdiction of the Company Court which is called upon to sanction a Scheme of Compromise and Arrangement are not exhaustive but only broadly illustrative of the contours of the courts jurisdiction."

....

55. In view of the approval accorded by the equity shareholders, secured and unsecured Creditors of the petitioner and the Regional Director, Western Region to the proposed Scheme of Arrangement, as well as the submissions of the Income Tax Department, there appear to be no further impediments to the grant of sanction to the Scheme of Arrangement. Consequently, sanction is hereby granted to the Scheme of Arrangement under Sections 391 and 394 of the Companies Act, 1956 while protecting the right of the Income Tax Department to recover the dues in accordance with law irrespective of the sanction of the Scheme. However, while sanctioning the Scheme it is observed that said sanction shall not defeat the right of the Income Tax Department to take appropriate recourse for recovering the existing or previous liability of the transferor company and the transferor company is directed not to raise any issue regarding maintainability of such proceedings in respect of assets sought to be transferred under the proposed Scheme and the same shall bind to transferor and transferee company. The pending proceedings against the transferor company shall not be affected in view of the sanction given to the Scheme by this Court. In short, the right of the Income Tax Department is kept intact to take out appropriate proceedings regarding

recovery of any tax from the transferor or transferee company as the case may be and pending cases before the Tribunal shall not be affected in view of the sanction of the Scheme."

39. The aforesaid decision of the Hon'ble Gujarat High Court in "Vodafone Essar Gujarat Ltd." (Supra) was affirmed by the Hon'ble Supreme Court in "Department of Income Tax v. Vodafone Essar Gujarat Limited — (2015) 16 SCC 629" wherein the Hon'ble Supreme Court observed: "2. We are not inclined to entertain the special leave petitions. The special leave petitions are, accordingly, dismissed. We only state that the Income Tax Department is entitled to take out appropriate proceedings for recovery of any tax statutorily due from the transferor or transferee company or any other person who is liable for payment of such tax due." 40. The case of the Appellant(s) is covered by the decision of the Hon'ble Supreme Court in "Department of Income Tax v. Vodafone Essar Gujarat Limited and Another" (Supra) and in view of the liberty given to the Income Tax Department, we are not inclined to interfere with the Scheme of Arrangement as approved by the Tribunal. Both the appeals are dismissed. No costs."

Para 13.

The Income Tax Department and petitioner companies have filed written submissions. The Income Tax Department reiterated similar contentions which are raised in the report filed on 28.03.2022 and 20.06.2022. The petitioner companies in their written submission, vehemently objected the contentions raised by the Income Tax Department. Petitioner companies also relied upon order passed on 19.05.2022 by NCLT Chandigarh bench in the

case of Panasonic India Private Limited and Panasonic Life Solutions India Private Limited in CP (CAA) NO.8/CHD/HRY/2021. In this case, the Income Tax Department had objected to amalgamation of transferor company M/s. Panasonic India Pvt. Ltd. having carried forward losses of Rs. 364 Crore with the transferee company M/s. Panasonic Life Solutions India Pvt. Ltd. on grounds of potential loss of revenue. The NCLT, Chandigarh approved the scheme of amalgamation. The relevant para of the said order is reproduced below:

"7.15 We emphasize that the treatment of carrying forward and set off of accumulated loss and unabsorbed depreciation allowance in amalgamation or demerger etc. of companies are clearly spelt out under Section 72A of the Income Tax Act, 1961 read with Rule 9(C) of the Rules. Further conditions regarding carrying forward and set off losses in cases of certain companies are equally clearly spelt out in Section 79 of the Income Tax Act, 1961. These provisions, in our opinion, are sufficient to protect the interest of revenue in any case of amalgamation or demerger etc. Even if a proposal of a Scheme of Amalgamation has been approved by the Adjudicating Authority, it is clarified that no provision of such a Scheme can override the existing provisions of the Income Tax Act. In any case, the above issues will come up for the consideration of the Assessing Officer at the time of assessment of the petitioner companies, and the Department can analyze the Scheme and is entitled to take any decision as per the provisions of the Income Tax Act on any issues including those discussed above. The Transferee Company has already submitted an undertaking in the form of an affidavit that it would extend

its complete cooperation to the income tax authorities in any proceedings that exist/ may arise post the sanction of the Scheme of Amalgamation by this Adjudicating Authority. As regards the provision of GAAR, the Income Tax Department is at liberty to invoke the provisions if the Assessing Officer during the course of assessment or reassessment proceedings, believes that GAAR should be invoked but the case will have to be referred to the Principal Commissioner or Commissioner of Income Tax, who in turn has to refer the matter to an Approving Panel in accordance with

the provisions of Section 144BA of the Act.

7.16. In view of the aforementioned discussions, we do not find enough merit in the objections raised by the Income Tax Department to justify any adverse inference with regard to the proposed Scheme of Amalgamation."

Para 15

15.2 We have considered various case laws cited by the Petitioner Company and the decision in the case of McDowell & Company Ltd. cited by the Income Tax Department. The main objection of the Income Tax Department to the scheme is that the profits of the Transferor Company will get merged with the Transferee Company and therefore there will be no tax liability and there will be consequential avoidance of tax.

The scheme envisages synergy in operations. The scheme has been approved by the shareholders and creditors. The ROC/RD and OL have not raised any objections to the Scheme. The only objection has come from the Income Tax Department regarding tax avoidance. We have noted that

there are provisions in the Income Tax Act which deal with set-off of accumulated losses and unabsorbed depreciation. We also note that anti-avoidance regulations are codified and brought in the Income Tax Act. Thus, even if this scheme is approved in the present form, the Income Tax Department shall have the right to recover their dues in accordance with law and the rights of the Income Tax Department will remain intact to take appropriate proceedings against the Transferee Company. At this stage we like to refer to the following extract from the decision of Hon'ble NCLAT in the case of Joint Commissioner of Income Tax (OSD), Circle (3)(3)-1, Mumbai Vs. Reliance Jio Infocomm Ltd. & Ors. Company Appeal (AT) No. 113 of 2019.

On similar facts the coordinate NCLT, Chandigarh Bench, in the case of Panasonic India Pvt. Ltd. & Panasonic Life Solutions India Pvt. Ltd. in CP(CAA) No. 8/CHD/HRY/2021 has elaborated on this issue as under:

"7.15 We emphasize that the treatment of carrying forward and set off of accumulated loss and unabsorbed depreciation allowance in amalgamation or demerger etc. of companies are clearly spelt out under Section 72A of the Income Tax Act, 1961 read with Rule 9(C) of the Rules. Further conditions regarding carrying forward and set off losses in cases of certain companies are equally clearly spelt out in Section 79 of the Income Tax Act, 1961. These provisions, in our opinion, are sufficient to protect the interest of revenue in any case of amalgamation or demerger etc. Even if a proposal of a Scheme of Amalgamation has been approved by the Adjudicating Authority, it is clarified that no provision of such a Scheme can override the existing provisions of the Income Tax Act.

In any case, the above issues will come up for the consideration of the Assessing Officer at the time of assessment of the petitioner companies, and the Department can analyze the Scheme and is entitled to take any decision as per the provisions of the Income Tax Act on any issues including those discussed above. The Transferee Company has already submitted an undertaking in the form of an affidavit that it would extend its complete cooperation to the income tax authorities in any proceedings that exist/ may arise post the sanction of the Scheme of Amalgamation by this Adjudicating Authority. As regards the provision of GAAR, the Income Tax Department is at liberty to invoke the provisions if the Assessing Officer during the course of assessment or reassessment proceedings, believes that GAAR should be invoked but the case will have to be referred to the Principal Commissioner or Commissioner of Income Tax, who in turn has to refer the matter to an Approving Panel in accordance with the provisions of Section 144BA of the Act. 7.16. In view of the aforementioned discussions, we do not find enough merit in the objections raised by the Income Tax Department to justify any adverse inference with regard to the proposed Scheme of Amalgamation."

In the context of above discussion, it appears that the requirements of the provisions of section 230 and 232 are satisfied by the petitioner companies. It seems that the proposed Scheme of Amalgamation is bona fide and in the interest of the shareholders and creditors. Therefore, petition is allowed and the Scheme envisaging amalgamation of Pangenomics International Private Limited, the Transferor Company with Sterling Accuris Wellness Private Limited, the Transferee Company is

hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the scheme.

vii. A Copy of the aforesaid order and the judgment delivered by the Hon'ble Gujarat High Court in the case of Vodafone Essar Gujarat Ltd., by Hon'ble NCLAT in case of Reliance Jio Infocomm Ltd, by Hon'ble NCLT Chandigarh Bench in case of Panasonic Life Solutions India Pvt. Ltd are annexed herewith).

viii. Further, even after the Scheme of Arrangement is approved by Hon'ble NCLT, no provision of such a Scheme can override the existing provisions of the Income Tax Act, 1961. In any case, the Income-tax department is entitled to take any decision as per the provisions of the Income Tax Act on any issues including carry forward of losses during the course of assessment. The Income Tax Department shall therefore have the right to recover their dues in accordance with law even after the demerger and the rights of the Income Tax Department will remain intact to take appropriate proceedings as per the applicable provisions of the Income-tax Act, 1961.

ix. Further, the order under Section 148(A) as referred to in the representation filed by the Income-tax department pertains to Uniworld Edutech Private Limited wherein appropriate appellate proceedings has been initiated by Uniworld Edutech Private Limited against the said order.

Thus, the matter has not been finalized yet and the appeal proceedings are in progress. In any case, the Income-tax department is entitled to take any decision as per the provisions of the Income Tax Act during the course of assessment. The Income Tax Department shall therefore have the right to recover their dues in accordance with law even after the demerger and the rights of the Income Tax Department will remain intact to take appropriate proceedings as per the applicable provisions of the Income-tax Act, 1961.

x. Further, the Company hereby undertakes that it would extend its complete co-operation to the income tax authorities in any proceedings that exist/may arise post the sanction of the Scheme of Arrangement by Hon'ble NCLT.

21. The Income Tax Department on receipt of the reply of the petitioner companies have filed their further reply dated 26th April 2023 wherein it is stated that-

"In light of Para 15.4 and 15.5 above-mentioned judgment of Honorable NCLT, without prejudice to above, even if Honorable NCLT proceeds with approval of this scheme of demerger, it is hereby informed that department would be at the liberty to invoke the provisions of GAAR in accordance with the provisions of Section 144BA of the Act".

Without prejudice to above, it is further submitted that the Income Tax Department reserves rights to invoke the provisions

of Income Tax Act in any proceedings subsequent to the demerger, if happens, for which response is sought and to bring to tax any income arising as a result of the said Scheme of demerger in the hands of assessee, their respective Shareholders, Creditors and other stakeholders."

22. During the hearing on 01.05.2023, Mr. Liladhar Sharma, Assistant Director of Regional Director Office states that report has been filed and they have no objection to the approval of the Scheme. Ms. Pankti Shah, Ld. Counsel for the Income Tax Department stated that she has objections to the approval of the scheme and report has already been filed and the petitioner companies have filed their reply to the report of the Income Tax Department.

23. It is submitted that with Demerged Undertaking (i.e. Hospitality Business of Demerged Company excluding the liquor business) shall, together with all its property, rights and powers be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Act, stand transferred to and vest in the Resulting Company for all the estate and interest of the Demerged Undertaking.

24. We have heard Ld. Counsel, Ms. Dharmishta Raval for the Petitioner Companies and also gone through the records.

25. Supreme Court in Miheer H. Mafatal V/s Mafatial Industries Ltd JT 1996 (8) 205 while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391

read with Section 393 of the Companies Act, 1956, observed as under:

> *"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromised as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."*

26. On the basis of the above facts and submissions made by the Ld. Counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of section 230 and 232 are satisfied by the Petitioner Company. We are of the considered view that the proposed Scheme of Arrangement is bonafide and in the interest of the shareholders and creditors. In the result, Company Petition No. CP(CAA) No. 56 of 2022 is allowed. The scheme envisages amalgamation of Gandhinagar Hospitalities ("Petitioner Demerged Company") and United Eduplus Private Limited, (**"**Petitioner Resulting Company") and their respective shareholders and creditors. It is declared that the said sanctioned scheme shall be binding on the Petitioner Companies and their shareholders, creditors and all concerned under the scheme.

27. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

28. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST, etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

29. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of Amalgamation given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

30. The scheme is allowed with the following directions:

ORDER

i. The Scheme of Arrangement as annexed herewith as "Annexure-A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their

Shareholders and Creditors and all concerned under the Scheme.

ii. Consideration:

a. Upon this Scheme becoming effective, the Resulting Company shall without any further application or deed, issue and allot shares, credited as fully paid-up, to the extent indicated below to the equity shareholders of the Demerged Company whose name appear in the Register of equity shareholders on the Record Date of the Scheme or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the respective Board of Directors in the following manner:

b. 124(One Hundred Twenty Four) Preference Shares of the Resulting Company of face value of INR 10/- (Rupees Ten Only) each fully paid-up, for every 1000 (One Thousand) equity shares of INR 10/- (Rupees Ten Only) each fully paid-up held in the Demerged Company. The terms of issue of Preference Shares are provided in Annexure 1.

c. In respect of fractional entitlement to a shareholder, the same shall be rounded off to the next nearest integer and in case if the fraction is less than half, it shall be rounded down to the nearest lower integer. The Preference Shares to be issued by the Resulting Company to the shareholders of the Demerged Company shall be in physical form.

d. In order to carry on the activities currently being carried on by the Demerged Company upon the approval of the Scheme by the members and the Resulting Company pursuant to Sections 230 to 232 of the Act, it shall be deemed that the members of the Resulting Company have also resolved and accorded all relevant consents under Section 13 or any other provisions of the Act for the commencement of any business or activities currently being carried on by the Demerged Company in relation to the objects contained in the Memorandum of Association of the Resulting Company, to the extent the same may be considered applicable. In particular, the Resulting Company would be allowed to commence the business added as above with effect from the Appointed Date. It is clarified that there will be no need to pass a separate resolution as required under Section 13 or any other provisions of the Act.

e. Under the accepted principle of Single Window Clearance, it is hereby provided that the above referred amendment in the Memorandum and Articles of Association of the Resulting Company, viz. Change in Object Clause as mentioned in this sub- clause shall become operative on the scheme being effective by virtue of the fact that the shareholders of the Resulting Company, while approving the scheme as a whole, have also resolved and. accorded the relevant consents as required respectively under Sections 13 and 14 of the Companies Act, 2013 or any other provisions of the Act and it shall not be required to pass separate resolutions

as required under the Act, nor any additional fees (including fees and charges to the relevant Registrar of Companies) or stamp duty, shall be payable by the Resulting Company.

iii. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Demerged Undertaking shall stand transferred to and vest in the Resulting Company, without any further act or deed. The Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company.

iv. All the liabilities and duties of the Petitioner Demerged Company with respect to the Demerged Undertaking be transferred, without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company.

v. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Petitioner Demerged Company with respect to the Demerged Undertaking, shall stand transferred to and vested in the Resulting Company and be in full force and effect in favour of the Resulting Company and may be enforced by or against it as fully and effectually against the Resulting Company.

vi. All proceedings now pending by or against the Petitioner Demerged Company with respect to the Demerged Undertaking, if any, shall be continued by or against the Resulting Company.

vii. All employees in the service of the Petitioner Demerged Company with respect to the Demerged Undertaking shall be deemed to have become the employees and the staff of the Resulting Company on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on term and conditions no less favourable than those on which they were / are engaged, as on the Effective Date.

viii. The Petitioner Companies are directed to lodge a copy of this Order, the approved Scheme and the Schedule of Assets of the Demerged Company duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

ix. The Petitioner Companies are directed to file a copy of this order along with a copy of the scheme with the concerned Registrar of Companies, electronically, along with INC-28 in addition to physical copy as per relevant provisions of the Act.

x. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme

and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xi. The legal and expenditure fees for the office of the Regional Director are quantified at Rs.15,000/-. The fees to the Regional Director shall be paid by the Demerged Company.

xii. Any person aggrieved by this order shall be at liberty to apply to this Tribunal for any directions that may be necessary.

31. The Company Petition CP (CAA) No. 56 of 2022 connected with CA (CAA) No. 27 of 2022 is disposed of.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Stancy-Steno/Divya-LRA

Annexure "A"
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Annexure- F

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SCHEME OF ARRANGEMENT
BETWEEN
GANDHINAGAR HOSPITALITIES PRIVATE LIMITED
AND
UNITED EDUPLUS PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS
UNDER SECTION 230 to 232 OF THE COMPANIES ACT, 2013

PREAMBLE

This Scheme (*as defined hereinafter*) is presented under Section 230 to 232 and other relevant provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for demerger of Hospitality Undertaking (as defined hereinafter) of Gandhinagar Hospitalities Private Limited and transfer of the same to United Eduplus Private Limited which includes issuance of shares by United Eduplus Private Limited to the shareholders of Gandhinagar Hospitalities Private Limited.

(A) **BACKGROUND**

a) Gandhinagar Hospitalities Private Limited ('GHPL') is a company incorporated on 24 June 2011 under the provisions of the Companies Act, 1956. It's CIN number is U55101GJ2011PTC125942. The company is having its registered office at Plot No. 235, Hotel Haveli, Sector 11 Gandhinagar Gujarat 382011. The company is engaged in Hospitality business.

b) United Eduplus Private Limited ('UEPL') is a company incorporated on 20 April 2012 under the provisions of Companies Act, 1956. It's CIN number is U80302GJ2012PTC070010. The company is having its registered office at LS NO 1797, Uvarsad B/H Karnavati Campus Gandhinagar Gujarat 382422. The company is engaged in the business by application of ways and means for promoting and providing education in all forms and subjects.

(B) **RATIONALE FOR THE SCHEME OF ARRANGEMENT:**

a) This Scheme provides for transfer by way of demerger of the Hospitality Business Undertaking of GHPL to UEPL and the consequent issue of shares by UEPL to the shareholders of GHPL on a proportionate basis in consideration for the transfer and vesting of the Hospitality Business Undertaking in UEPL.

b) To streamline the current business structure and to achive the growth objective, the management of the said companies are desirous of entering into scheme of arrangement between both the Companies.

GANDHINAGAR HOSPITALITIES PVT. LTD.

United Eduplus private Limited Gandhinagar

GANDHINAGAR HOSPITALITIES PVT. LTD. GANDHINAGAR

United Eduplus private Limited Gandhinagar

c) The proposed Scheme of Arrangement would inter alia result into the following benefits to the Companies and all other stakeholders including the shareholders, creditors and employees and will be in the long-term interest of the Companies, employees and other stakeholders:
- Consolidation of business and operations;
- Optimum utilization of resources;
- Enhances management focus and operational flexibility;
- Unlocking value;
- Streamlining the current organization structure, achieving administrative and operational convenience;
- Synergies arising out of consolidation of business, such as enhancement of net-worth of the combined entities / businesses which shall lead to better ability to leverage the business including reduction in cost of capital;
- Greater administrative efficiency and enhanced productivity; and
- Reduction in multiplicity of legal and regulatory compliances.

The Scheme does not adversely affect the stakeholders and creditors of any of the companies.

(C) **Treatment of the Scheme for the purpose of the Income-Tax Act, 1961**

This Scheme has been drawn up to comply with the conditions relating to "Demerger" as defined under Section 2(19AA) of the Income-tax Act, 1961. If any of the terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said Section of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(19AA) of the Income-tax Act, 1961. Such modifications will however not affect the other parts of the Scheme.

1. **DEFINITIONS**

In this scheme, unless repugnant to the meaning or context thereof, the following expressions shall have the meaning mentioned herein below:

1.1 **"Act" or "the Act"** means the Companies Act, 2013 and Companies (Compromises, Arrangements and Amalgamations), Rules, 2016 and any modifications or re-enactment thereof from time to time. References in the Scheme to particular provisions of the Act are references to particular provisions of the Companies Act, 2013.

1.2 **"Applicable Law"** means any statute, notification, bye laws, rules, regulations, guidelines, rule of common law, policy, code,

directives, ordinance, orders or instructions having the force of law enacted or issued by any Appropriate Authority including any statutory modification or re-enactment thereof for the time being in force.

1.3 **"Appointed Date"** means 1 April, 2021 or such other date as may be approved by the Central Government or National Company Law Tribunal or any other appropriate authority, subject to provisions of section 232(6) of the Companies Act, 2013.

1.4 **"Appropriate Authority"** means any governmental, statutory, departmental or public body or authority in India including National Company Law Tribunal in India (NCLT) and the High Court of Gujarat at Ahmedabad.

1.5 **"Board of Directors" or "Board"** means the Board of Directors of GHPL or/and UEPL, as the case may be, and shall include a duly constituted committee thereof.

1.6 **"Central Government"** means the office of the Regional Director, Ministry of Company Affairs, North-Western Region.

1.7 **"Demerged Company"** means Gandhinagar Hospitalities Private Limited.

1.8 **"Demerged Undertaking" or "Hospitality Business Undertaking"** means Hospitality Business of Demerged Company excluding the liquor business, comprising of all assets, investments, and liabilities relating thereto, on a going concern basis, and shall include (without limitation):

a. All the assets and properties, whether movable and /or immovable (whether freehold, leasehold or otherwise), tangible or intangible, including all rights, title and interest in connection with land and buildings thereon whether corporeal or incorporeal, leasehold or otherwise, plant and machinery, fixed or movable, and whether leased or otherwise, capital work-in-progress including expenses incurred to be capitalised and advances for assets, contracts with any party, letters of intent, registrations, engagements, arrangements etc. as on the Appointed Date pertaining to Hospitality Business of Demerged Company;

b. All the debts, liabilities, duties and obligations including contingent liabilities, past or future, whether secured or unsecured, pertaining to Hospitality Business of Demerged Company;

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GANDHINAGAR HOSPITALITIES PVT. LTD. GANDHINAGAR

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c. All agreements, contracts, arrangements, understandings, engagements, deeds and instruments including lease/license agreements, joint development agreements, tenancy rights, equipment purchase agreements, and other agreements with the customers, purchase and other agreements/contracts with the supplier/manufacturer of goods/service providers and all rights, title, interests, claims and benefits thereunder of the Hospitality Business of Demerged Company;

d. All licenses, approvals, certificates, permits, entitlements, concessions, exemptions, subsidies, authorisations, trademarks, tradenames, patents, patent rights, copyrights,, and other intellectual properties and rights of any nature whatsoever including know-how, domain manes, assignments, rights, import quotas, right to use, income tax benefits and any other exemptions as available under the Income-tax Act, 1961 (IT Act') other rights, receivables and liabilities related thereto, privileges, advantages and all other facilities of every kind, nature and description whatsoever pertaining to Hospitality Business of Demerged Company;

e. All amounts claimed by Demerged company, whether or not so recorded in its books of accounts, from any Governmental Authority, under any law, act, scheme or rule, as refund of any tax, duty, cess or of any excess payment pertaining to Hospitality Business of Demerged Company;

f. Without prejudice to the generality of the above, Hospitality Business Undertaking of Demerged Company shall include all movable and immovable assets; cash balances with banks, investments, claims, powers, allotments, leasehold rights, brands, sub-letting tenancy rights, with or without the consent of the landlord as may be required by law, loans, advances, contingent rights or benefits, receivables, earnest monies, advances, exemptions and approvals of whatsoever nature (including but not limited to benefits of tax relief including under the IT Act such as credit for advance tax, taxes deducted at source, minimum alternate tax, brought forward accumulated tax losses, unabsorbed depreciation, etc.), unutilized deposits or credits, right to use and avail telex, facsimile and other communication facilities and equipment, rights and benefits of all agreements, pending applications and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits and approvals etc. pertaining to Hospitality Business of Demerged Company;

g. All employees engaged in or in relation to Hospitality Business of the Demerged Company as on the Effective Date;

h. All books, records, files, papers, engineering and process information, records of standard operating procedures, computer programs along with their licenses, drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, any pricing information and other records whether in physical or electronic form in connection with or relating to Hospitality Business of the Demerged Company;

Explanation: Whether any particular asset, liability or employee should be included as asset, liability or employee of Hospitality Business of the Demerged Company or otherwise shall be decided mutually by the Board of Directors or any committee thereof of GHPL and UEPL.

1.9 **"Employees"** means individuals appointed or to be appointed in respect of the Hospitality Business Undertaking.

1.10 **"Effective Date"** means the date on which the certified copy of the order of NCLT sanctioning the Scheme is filed with the Registrar of Companies, Gujarat, at Ahmedabad. Any reference in this Scheme to "upon the Scheme becoming effective" "upon the coming into effect of the Scheme" or "effectiveness of the Scheme" or "upon the Scheme coming into effect" shall mean the Effective Date.

1.11 **"Governmental Authority"** means any applicable Central, State or Local Government, legislative body, regulatory or administrative authority, Registrar of Companies, Office of the Official Liquidator, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitration or arbitral body having jurisdiction.

1.12 **"Record Date"** means such date which shall be fixed by the Board of Directors of UEPL or any committee/person duly authorized by the respective Board of Directors, to determine the shareholders of GHPL for the purpose of issue and allotment of shares of UEPL as may be applicable and relevant.

1.13 **"Remaining Business"** means all the undertakings, businesses, activities and operations of GHPL other than the Hospitality Business Undertaking.

1.14 **"Scheme" or "the Scheme" or "this Scheme"** means this Scheme of Arrangement in its present form as submitted in accordance with the provisions of Sections 230 to 232 of the Act or with any modification(s), if any, made under clause 32 of the Scheme or with such other modification / amendments as the NCLT or any other Government Authority may direct.

1.15 **"NCLT"** means the National Company Law Tribunal at Ahmedabad.

1.16 **"Resulting Company"** means United Eduplus Private Limited

1.17 The Demerged Company and the Resulting Company are hereinafter collectively referred to as **"the Companies"**.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modifications or re-enactment thereof from time to time. In this Part, unless the context otherwise requires:

a. the words denoting the singular shall include the plural and vice versa;
b. headings and bold typefaces are only for convenience and shall be ignored for the purpose of interpretation;
c. references to the word "include" or "including" shall be construed without limitation;
d. a reference to an article, clause, section, paragraph or schedule is, unless indicated to the contrary, a reference to an article, clause, section, paragraph or schedule of this Scheme;
e. reference to a document includes an amendment or supplement to, or replacement or novation of, that document;

2. **DATE OF TAKING EFFECT**

The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Registrar of Companies, Official Liquidator, Central Government or the NCLT, as the case may be, in terms of clause 17 of the Scheme, shall be effective from Appointed Date mentioned herein. In accordance with Section 232(6) of the Companies Act, 2013, the Scheme shall be deemed to be effective from the Appointed Date and shall be operative from the Effective Date.

3. **SHARE CAPITAL**

The capital structure of GHPL as on 31st March 2021, is as under:

Share Capital	Rupees
Authorized Share Capital	
2,00,00,000 Equity shares of Rs. 10/- each	20,00,00,000-
Total	20,00,00,000

Share Capital	Rupees
Issued, subscribed and paid-up Share Capital	
2,00,00,000 Equity shares of Rs. 10/- each	20,00,00,000
Total	20,00,00,000

There is no change in the capital structure of GHPL subsequent to March 31, 2021 till the date of approval of the scheme by the Board of Directors.

3.1 The capital structure of UEPL as on 31st March 2021 is as under:

Share Capital	Rupees
Authorized Share Capital	
2,00,000 Equity shares of Rs. 10/- each	20,00,000
1,73,02,816 Preference shares of Rs. 10/- each	17,30,28,160
Total	17,50,28,160
Issued, subscribed and paid-up Share Capital	
20,000 Equity shares of Rs. 10/- each	2,00,000
1,73,02,816 Preference shares of Rs. 10/- each	17,30,28,160
Total	17,32,28,160

There is no change in the capital structure of UEPL subsequent to March 31, 2021 till the date of approval of the scheme by the Board of Directors.

4. TRANSFER AND VESTING OF DEMERGED UNDERTAKING

4.1 With effect from the Appointed Date and upon the Scheme becoming effective, the whole of Hospitality business undertaking of GHPL, pursuant to the provisions of Sections 230 to 232 and all other applicable provisions of the Act and in compliance of Section 2(19AA) of the IT Act and without any further act, instrument, deed, matter or thing, shall stand transferred to and vested in, as a going concern, so as to vest with, the Resulting Company all rights, title and interest pertaining to Hospitality business undertaking of GHPL.

4.2 Without prejudice to the generality of above, in so far as the immovable properties of the Hospitality Business undertaking of the Demerged Company, are concerned, all the rights of the Demerged Company in immovable properties shall stand transferred to the Resulting Company automatically without requirement of execution of any further documents for registering the name of the Resulting Company as owner thereof and the regulatory authorities, including Sub-registrar of Assurances, Talati, Tehsildar, Municipality, etc. shall make necessary mutation entries and changes in the land or revenue records to reflect the name of the Resulting Company as owner of the immovable properties.

4.6 Upon the coming into effect of this Scheme and with effect from the Appointed Date, all income, expense, debts, liabilities, including, without limitation, all secured and unsecured debts, sundry creditors, contingent liabilities, duties, obligations of the Demerged Company pertaining to Demerged undertaking, of every kind, nature and description whatsoever and howsoever arising, raised, incurred or utilised for its business activities and operations, shall, pursuant to the sanction of this Scheme by the NCLT and under the provisions of Sections 230 to 232 and other applicable provisions, if any, of the Act, without any further act, instrument, deed, matter or thing being made, done or executed, be transferred to and vested in, or be deemed to have been transferred to and vested in, the Resulting Company and shall be assumed by the Resulting Company to the extent they are outstanding as on the Effective Date so as to become, as on and from the Appointed Date, the liabilities, debts, duties and obligations of the Resulting Company on the same terms and conditions as were applicable to the Demerged Company, and the Resulting Company shall meet, discharge and satisfy the liabilities and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such liabilities have arisen in order to give effect to the provisions of this clause.

4.7 All debts, liabilities, duties and obligations of the Demerged Company pertaining to Demerged undertaking shall, as on the Appointed Date, whether or not provided in the books of the Demerged Company, and all debts, duties, liabilities and obligations incurred or which arise or accrue to the Demerged Company on or after the Appointed Date till the Effective Date shall become and be deemed to be the debts, loans raised and used, duties, liabilities and obligations incurred by the Resulting Company by virtue of this Scheme.

4.8 Where any such debts, liabilities, duties and obligations of the Demerged Company as on the Appointed Date have been discharged by the Demerged Company on or after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to be for and on account of the Resulting Company upon the coming into effect of this Scheme.

4.9 All loans raised and utilised and all liabilities, duties and obligations incurred or undertaken by the Demerged Company pertaining to Demerged undertaking on or after the Appointed Date and prior to the Effective Date shall be deemed to have been raised, used, incurred or undertaken for and on behalf of the Resulting Company and to the extent they are outstanding on the Effective Date, shall, upon the coming into effect of this Scheme and under the provisions of Sections 230 to 232 of the Act, without any further act, instrument or deed be and stand transferred to and

vested in and be deemed to have been transferred to and vested in the Resulting Company and shall become the loans and liabilities, duties and obligations of the Resulting Company which shall meet, discharge and satisfy the same.

4.10 The transfer and vesting of the Demerged Undertaking of the Demerged Company into the Resulting Company shall be subject to the existing securities, charges, mortgages and other encumbrances if any, subsisting over or in respect of the property and assets or any part thereof forming part of the Demerged Undertaking to the extent such securities, charges, mortgages, encumbrances are created to secure the liabilities forming part of the Demerged Undertaking.

4.11 Any security, charge or mortgage over the assets forming part of Demerged undertaking which relate to any liabilities pertaining to the business other than Demerged undertaking, or liabilities of the Demerged Company other than liabilities of Demerged undertaking, shall continue for the Remaining Undertaking of the Demerged Company. The absence of any formal amendment which may be required by a lender or third party shall not affect the operation of the above. The provisions of this clause shall operate notwithstanding anything contained in any instrument, deed or writing or terms of sanction or issue or any security document, all of which instruments, deeds and writings shall stand modified and/or superseded by the foregoing provision.

4.12 Further, where any document in case of any encumbrance, charge and/or right created by the Demerged Company with respect to the Demerged Undertaking, is transferred to or replaced by the Resulting Company, no duty (including stamp duty), levy, expense, charge and/or cess of any nature will be payable by the Resulting Company at the time of replacement and/or modification of the encumbrance, charge and/or right with any Governmental authority (including Registrar of Companies) or any other person as the case maybe and the duty and other levies already paid by the Demerged Company shall be deemed to have been paid by the Resulting Company.

4.13 The existing encumbrances over the properties and other assets of the Resulting Company or any part thereof which relate to the liabilities and obligations of the Resulting Company prior to the Effective Date shall continue to relate only to such assets and properties and shall not extend or attach to any of the assets and properties of the Demerged Companies transferred to and vested in the Resulting Company by virtue of this Scheme.

4.14 Upon the Scheme becoming effective, the Main Objects of the Demerged Company, as outlined in Annexure 1 shall be added to the Main Objects of the Resulting Company.

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6. CONTRACTS, DEEDS, ETC.

6.1 Notwithstanding anything to the contrary contained in the contract, deed, bond, agreement or any other instrument, but subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements and other instruments, if any, of whatsoever nature and subsisting or having effect on the Effective Date and relating to Demerged Undertaking, shall continue in full force and effect against or in favour of the Resulting Company, and may be enforced effectively by or against the Resulting Company as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party thereto.

6.2 The Resulting Company, at any time after the coming into effect of this Scheme and in accordance with the provisions hereof, if so required, under any law or otherwise, enter into, or issue or execute deeds, writings, confirmations, novations, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the Demerged Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Resulting Company, shall, be deemed to be authorized to execute any such writings on behalf of the Demerged Company and to carry out or perform all such formalities or compliances required for the purposes referred to above on the part of the Demerged Company.

7. SAVING OF CONCLUDED TRANSACTIONS

7.1 The transfer of assets, properties and liabilities above and the continuance of proceedings by or against the Resulting Company above shall not affect any transaction or proceedings already concluded in the Demerged Company, in relation to Demerged undertaking, on or before the Effective date, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and things done and executed by the Demerged Company, in relation to Demerged undertaking, in respect thereto as done and executed on their behalf.

8. STAFF, WORKMEN & EMPLOYEES

8.1 Upon the coming into effect of this Scheme, all the employees of Demerged Company engaged in or in relation to Demerged Undertaking and who are in such employment as on the Effective Date shall become the employees of the Resulting Company from Appointed Date or their respective joining date, whichever is later and, subject to the provisions of this Scheme, on terms and conditions not less favourable than those on which they are engaged by Demerged Company and without any interruption of or break in service as a result of the transfer of Demerged undertaking.

8.2 It is expressly provided that, on the Scheme becoming effective, the Provident Fund, Gratuity Fund, Superannuation Fund or any

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9.2 All profits and income accruing or arising to the Demerged Company from the Demerged Undertaking, and any cost, charges, losses and expenditure arising or incurred by it (including taxes, if any, accruing or paid in relation to any profits or income) relating to the Demerged Undertaking shall, for all purposes, be treated as and be deemed to be the profits income, losses or expenditure, as the case may be, of the Resulting Company;

9.3 Any of the rights, powers, authorities, privileges, attached, related or pertaining to the Demerged Undertaking exercised by the Demerged Company shall be deemed to have been exercised by the Demerged Company for and on behalf of, and in trust for and as an agent of the Resulting Company. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the Demerged Undertaking that have been undertaken or discharged by the Demerged Company shall be deemed to have been undertaken for and on behalf of and as an agent for the Resulting Company;

9.4 The Demerged Company undertakes that it will preserve and carry on the business of the Demerged Undertaking with reasonable diligence and business prudence and shall not undertake financial commitments or sell, transfer, alienate, charge, mortgage, or encumber the Demerged Undertaking or any part thereof or recruit new employees or conclude settlements with union or employees or undertake substantial expansion or change the general character or nature of the business of the Demerged Undertaking or any part thereof save and except in case if the prior written consent of the Board of Directors of the Resulting Company has been obtained.

9.5 The Demerged Company and/ or the Resulting Company shall be entitled, pending sanction of the Scheme, to apply to the Central/State Government(s), regulatory/local/administrative bodies and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Resulting Company may require to carry on the business of the Demerged Undertaking.

10. TAX CREDITS

10.1 The Resulting Company will be the successor of the Demerged Company vis-à-vis the Demerged Undertaking. Hence, it will be deemed that the benefit of any tax credits whether central, state or local, availed vis-à-vis the Demerged Undertaking and the obligations, if any, for payment of taxes on any assets of the Demerged Undertaking or their erection and / or installation, etc. shall be deemed to have been availed by the Resulting Company or as the case may be deemed to be the obligations of the Resulting Company.

10.2 With effect from the Appointed Date and upon the Scheme being effective, all taxes, duties, cess receivable/payable by the

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Demerged Company relating to the Demerged Undertaking including all or any refunds/credit/claims/tax losses/unabsorbed depreciation relating thereto shall be treated as the asset/liability or refunds/credit/claims/tax losses/unabsorbed depreciation, as the case may be, of the Resulting Company.

10.3 The Demerged Company and the Resulting Company are expressly permitted to revise their respective income tax returns and other statutory returns including tax deducted / collected at source returns, service tax returns, excise tax returns, sales tax / VAT returns, Goods and Services Tax return and such other returns, as may be applicable and to claim refunds, advance tax credits, excise and service tax credits, set off, etc., on the basis of the accounts of Demerged Undertaking of the Demerged Company as vested with the Resulting Company upon coming into effect of this Scheme and have expressly reserved their rights to make such revisions in the related tax returns and related certificates, as applicable, and the right to claim refunds, adjustments, credits, set-offs, advance tax credits pursuant to the sanction of this Scheme and the Scheme becoming effective. Such returns may be revised and filed notwithstanding that the statutory period for such revision and filing may have expired.

11. CONSIDERATION

11.1 Upon this Scheme becoming effective, the Resulting Company shall without any further application or deed, issue and allot shares, credited as fully paid-up, to the extent indicated below to the equity shareholders of the Demerged Company whose name appear in the Register of equity shareholders on the Record Date of the Scheme or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the respective Board of Directors in the following manner:

11.2 124 (One Hundred Twenty Four) Preference Shares of the Resulting Company of face value of INR 10/- (Rupees Ten Only) each fully paid-up, for every 1000 (One Thousand) equity shares of INR 10/- (Rupees Ten Only) each fully paid-up held in the Demerged Company. The terms of issue of Preference Shares are provided in Annexure 1.

11.3 In respect of fractional entitlement to a shareholder, the same shall be rounded off to the next nearest integer and in case if the fraction is less than half, it shall be rounded down to the nearest lower integer. The Preference Shares to be issued by the Resulting Company to the shareholders of the Demerged Company shall be in physical form.

4.15 In order to carry on the activities currently being carried on by the Demerged Company upon the approval of the Scheme by the members and the Resulting Company pursuant to Sections 230 to 232 of the Act, it shall be deemed that the members of the Resulting Company have also resolved and accorded all relevant consents under Section 13 or any other provisions of the Act for the commencement of any business or activities currently being carried on by the Demerged Company in relation to the objects contained in the Memorandum of Association of the Resulting Company, to the extent the same may be considered applicable. In particular, the Resulting Company would be allowed to commence the business added as above with effect from the Appointed Date. It is clarified that there will be no need to pass a separate resolution as required under Section 13 or any other provisions of the Act.

4.16 Under the accepted principle of Single Window Clearance, it is hereby provided that the above referred amendment in the Memorandum and Articles of Association of the Resulting Company, viz. Change in Object Clause as mentioned in this sub-clause shall become operative on the scheme being effective by virtue of the fact that the shareholders of the Resulting Company, while approving the scheme as a whole, have also resolved and accorded the relevant consents as required respectively under Sections 13 and 14 of the Companies Act, 2013 or any other provisions of the Act and it shall not be required to pass separate resolutions as required under the Act, nor any additional fees (including fees and charges to the relevant Registrar of Companies) or stamp duty, shall be payable by the Resulting Company.

5. **LEGAL PROCEEDINGS**

5.1 All legal proceedings of whatsoever nature by or against the Demerged Company pertaining to the Demerged Undertaking pending and/or arising before the Effective Date and relating to Demerged Undertaking, shall not abate or be discontinued or be in any way prejudicially affected by reason of the Scheme or by anything contained in this Scheme but shall be continued and enforced by or against the Resulting Company, as the case may be in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company.

5.2 The Resulting Company undertakes to have all respective legal or other proceedings initiated by or against the Demerged Company pertaining to the Demerged Undertaking, transferred into its name and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company.

other Special Fund or Trusts, if any, created or existing for the benefit of the staff and employees of Demerged undertaking or all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of Demerged Company in relation to such Fund or Funds shall become those of the Resulting Company. It is clarified that the services of the employees of Demerged undertaking will be treated as having been continuous and not interrupted for the purpose of the said fund or funds.

8.3 The Resulting Company shall make all the necessary contributions for such transferred Employees, and deposit the same in provident fund, gratuity fund or superannuation fund or any other special fund or staff welfare scheme or any other special scheme. The Resulting Company will also file relevant intimations in respect of the Demerged Undertaking to the statutory authorities concerned who shall take the same on record and substitute the name of the Resulting Company for the Demerged Company.

8.4 In so far as the existing provident fund, gratuity fund and pension and /or superannuation fund/trusts, retirement funds or employees state insurance schemes or pension scheme or employee deposit linked insurance scheme or any other benefits, if any, created by the Demerged Company for the Employees are concerned, such proportion of the funds, contributions to the funds or the scheme or the investments made into the funds relatable to the Employees as on the Effective Date, who are being transferred along with the Demerged Undertaking in terms of the Scheme, shall be transferred to the necessary funds, schemes or trusts of the Resulting Company and till the time such necessary funds, schemes or trusts are created by the Resulting Company, all contribution shall continue to be made to the existing funds, schemes or trusts of the Demerged Company.

9. **BUSINESS AND PROPERTY IN TRUST AND CONDUCT OF DEMERGED UNDERTAKING FOR RESULTING COMPANY**

With effect from the Appointed Date and up to and including the Effective date:

9.1 The Demerged Company shall be deemed to have been carrying on and to be carrying on all business and activities relating to the Demerged Undertaking and shall hold and stand possessed of and shall be deemed to hold and stand possessed of all the estates, assets, rights, title, interest, authorities, contracts, investments and strategic decisions of the Demerged Undertaking for and on account of, and in trust for the Resulting Company;

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4.3 In respect of the assets of Demerged undertaking, as are movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and / or delivery, the same may be so transferred by the Demerged Company, and shall, upon such transfer, become the property, estate, assets, investments, rights, title, interest and authorities of the Resulting Company by way of physical delivery or novation (together with duly executed transfer forms or other documents as may be required).

4.4 The movable assets of Demerged undertaking, other than those specified above, including intangible assets, deferred tax assets, unamortised deferred expenditures, actionable claims, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received and deposits with the Government, semi-Government, local and other authorities and bodies and customers, bank balances and deposits including deposits paid in relation to outstanding litigations, if any, with Government, semi-Government, local and other authorities and bodies, customers and other persons, shall, without any further act, instrument or deed, be transferred to and vested in, as the property of, the Resulting Company. The Resulting Company may, if required, give notice in such form as it may deem fit and proper to each person or debtor that, pursuant to the Scheme, the said person or debtor should pay the debt, loan or advance or make good the same or hold the same to its account and that the right of the Resulting Company to recover or realize the same is in substitution of the right of the Demerged Company and that appropriate entry should be passed in their respective books to record the aforesaid charges.

4.5 With effect from the Appointed Date, any statutory licenses, permissions or approvals or consents held by the Demerged Company pertaining to Demerged undertaking shall stand transferred to or vested in the Resulting Company without any further act or deed, and shall be appropriately mutated by the statutory authorities concerned therewith in favour of the Resulting Company. The benefit of all statutory and regulatory permissions, environmental approvals and consents, registrations or other licenses and consents shall vest in and become available to the Resulting Company pursuant to the Scheme. In so far as the various incentives, subsidies, rehabilitation Schemes, special status and other benefits or privileges including, without limitation, in respect of the benefits under income tax, excise (including modified value added tax, central value added tax), sales tax (including deferment of any tax), service tax, goods and services tax etc, granted by any Government body, local authority or by any other person, enjoyed or availed of by Demerged Undertaking of the Demerged Company are concerned, the same shall vest with and be available to the Resulting Company on the same terms and conditions.

11.4 The Preference Shares to be issued by the Resulting Company shall be subject to the Scheme and the Memorandum and Articles of Association of the Resulting Company.

11.5 Resulting Company shall, if necessary and to the extent required, increase its Authorized Share Capital to facilitate issue of shares under this Scheme, by following the requisite procedure under applicable provisions of law and the resolution approving the Scheme shall be deemed to be the approval of increase in the authorized share capital of the Resulting Company. The approval of this Scheme by the shareholders of both the companies shall be deemed to be the due compliance of the provisions of Section 42 and 62 of the Act and other relevant and applicable provisions of the Act for the issue and allotment of shares by the Resulting Company as provided in the scheme. It is clarified that there will be no need to pass a separate shareholders' resolution as required under Section 62 and Section 42 of the Act.

12. **ACCOUNTING TREATMENT IN THE BOOKS OF THE RESULTING COMPANY**

On the Scheme becoming effective and with effect from the Appointed Date, Resulting Company shall account for demerger in its books as under:

12.1 The Resulting Company shall record the assets, liabilities and debts of Demerged undertaking, at their respective book values as appearing in the books of the Demerged Company on the Appointed Date.

12.2 The aggregate face value of the Preference Shares issued and allotted under Clause 11 shall be credited to the Preference Share Capital Account.

12.3 Upon coming into effect of this Scheme, with respect to the inter-company investments, loans, advances, deposits balances or other obligations inter-se between the Demerged Undertaking of the Demerged Company and the Resulting Company, the obligations in respect thereof shall come to an end and corresponding effect shall be given in the books of accounts and records of the Resulting Company. For the removal of doubt, it is clarified that in view of the above there would be no accrual of interest or other charges in respect of any such inter-company investments, loans, advances, deposits, balances or other obligations.

12.4 Any excess or deficit of the amount of the total consideration over the value of the net assets acquired by the Resulting Company, after considering the effect of clause 12.3 above, shall be recognized as Goodwill and / or Capital Reserve, as the case may be. ("value of the net assets acquired" shall be computed as the value of assets less the value of liabilities of Demerged undertaking

of the Demerged Company as recorded in the books of the Resulting Company in terms of Clause 12.1 above).

12.5 To comply with the provisions of the Act along applicable Accounting Standards, the IT Act and other relevant laws, the Resulting Company (by its Board of Directors) may alter or modify the provisions of the Clauses 12.1 to 12.5, as they may deem fit and consider necessary, to settle any question arising out of the Scheme.

13. ACCOUNTING TREATMENT IN THE BOOKS OF THE DEMERGED COMPANY

On the Scheme becoming effective and with effect from the Appointed Date, the Demerged Company shall account for demerger in its books as under:

13.1 The Demerged Company shall reduce from its books the book value of assets and liabilities transferred as part of Demerged Undertaking to the Resulting Company pursuant to the Scheme.

13.2 The difference between the value of assets and liabilities of Demerged undertaking transferred pursuant to the Scheme shall be adjusted against Reserves and Surplus accounts. If the aforesaid difference is a credit balance, the same shall be credited to Capital Reserve Account.

13.3 To comply with the provisions of the Act along applicable Accounting Standards, the IT Act and other relevant laws, the Demerged Company (by its Board of Directors) may alter or modify the provisions of the Clauses 13.1 to 13.2, as they may deem fit and consider necessary, to settle any question arising out of the Scheme.

14. REMAINING BUSINESS TO CONTINUE WITH DEMERGED COMPANY

14.1 The Remaining Business of the Demerged Company and all the assets, liabilities and obligations pertaining thereto shall continue to belong to and be vested in and be managed by the Demerged Company subject to the provisions of the Scheme.

14.2 All legal or other proceedings by or against the Demerged Company under any statute, whether pending on the Appointed Date or which may be instituted in future whether or not in respect of any matter arising before the Effective Date and relating to the Remaining Business (including those relating to any property, right, power, liability, obligation or duties of the Demerged Company in respect of the Remaining Business) or in respect of the Demerged Company as a whole, shall be continued and enforced by or against the Demerged Company. The Resulting Company shall in no event be

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responsible or liable in relation to any such legal or other proceedings by or against the Demerged Company.

14.3 With effect from the Appointed Date and up to and including the Effective Date:

a) The Demerged Company shall carry on and shall be deemed to have been carrying on all business and activities relating to the Remaining Business for and on its own behalf;

b) All profits and income accruing or arising to the Demerged Company, and any cost, charges, losses and expenditure arising or incurred by it (including taxes, if any, accruing or paid in relation to any profits or income) relating to the Remaining Business shall, for all purposes, be treated as and be deemed to be the profits income, losses or expenditure, as the case may be, of the Demerged Company; and

c) All employees relatable to the Remaining Business shall continue to be employed by the Demerged Company and the Resulting Company shall not in any event be liable or responsible for any claims whatsoever regarding such employees.

15. APPLICATIONS TO APPROPRIATE AUTHORITIES

15.1 The Demerged Company and the Resulting Company shall, with all reasonable dispatch, make necessary applications to NCLT or such other appropriate authority, for seeking order for dispensing with or convening, holding and conducting of, meeting of the members and/or creditors of the Demerged Company and the Resulting Company as may be directed by the NCLT or such other appropriate authority for sanction of this Scheme and all matters ancillary or incidental thereto.

15.2 The Resulting Company shall be entitled, pending the sanction of the Scheme, to apply to any Governmental Authority, if required, under any law for such consents and approvals which the Resulting Company may require to own Demerged Undertaking and to carry on the business of Demerged Undertaking of the Demerged Company.

16. MODIFICATIONS OR AMENDMENTS TO THE SCHEME

16.1 The Demerged Company and the Resulting Company by their respective Board of Directors or such other person or persons, as the respective Board of Directors may authorize including any committee or sub-committee thereof, may make and/or consent to any modifications/amendments to the Scheme or to any conditions or limitations that the Central Government or NCLT or Registrar of Companies or Official Liquidator or any other Government Authority may direct may deem fit to direct or impose or which may otherwise be considered necessary, desirable or appropriate by them. The Demerged Company and the Resulting Company by

their respective Board of Directors or such other person or persons, as the respective Board of Directors may authorize including any committee or sub-committee thereof, shall be authorized to take all such steps as may be necessary, desirable or proper to resolve any doubts, difficulties or questions whether by reason of any directive or orders of any other authorities or otherwise howsoever arising out of or under or by virtue of the Scheme and/or any matter concerned or connected therewith. In case, post approval of the Scheme by the Central Government or NCLT, as the case may be, there is any confusion in interpreting any clause of this Scheme, or otherwise, Board of Directors of the Demerged Company and the Resulting Company will have complete power to take the most sensible interpretation so as to render the Scheme operational.

16.2 For the purpose of giving effect to this Scheme or to any modifications or amendments thereof or additions thereto, the Board of Directors of the Demerged Company and the Resulting Company may give and are hereby authorized to determine and give all such directions as are necessary including directions for settling or removing any question of doubt or difficulty that may arise and such determination or directions, as the case may be, shall be binding on all parties, in the same manner as if the same were specifically incorporated in this Scheme.

17. **SCHEME CONDITIONAL ON APPROVALS/ SANCTIONS**

The Scheme is and shall be conditional upon and subject to the following:

17.1 The Scheme being approved by respective requisite majorities in numbers and value of such classes of persons including the members and creditors (where applicable) of the companies as required under the Act unless waived or dispensed with by the NCLT;

17.2 The Scheme being sanctioned by the NCLT under Section 230 to 232 or other applicable provisions of the Act and / or any Appropriate Authority; and

17.3 Certified Copies of the Order of the NCLT or such other Appropriate Authority, as maybe applicable, sanctioning this Scheme being filed with the Registrar of Companies, Gujarat.

18. **EFFECT OF NON-RECEIPT OF APPROVALS/SANCTIONS**

18.1 In the event of any of the said sanctions and approvals referred to in above clause not being obtained and/or complied with and/or satisfied and/or this Scheme not being sanctioned by the Central Government or the NCLT, as the case may be, and/or order or orders not being passed as aforesaid, this Scheme shall stand revoked, cancelled and be of no effect and in that event, no rights

and liabilities whatsoever shall accrue to or be incurred inter se between the Demerged Company and the Resulting Company or their respective shareholders or creditors or employees or any other person and save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out in accordance with the applicable law and in such case, each party shall bear its own costs unless otherwise mutually agreed.

18.2 If any clause of this Scheme is invalid, ruled illegal by any Court of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Parties that such part shall be severable from the remainder of this Scheme, and this Scheme shall not be affected thereby, unless the deletion of such Clause shall cause this Scheme to become materially adverse to any party, in which case the Board of Directors of the companies involved in the Scheme shall attempt to bring about a modification in this Scheme, as will best preserve for the parties the benefits, and obligations of this Scheme, including, but not limited to, such clause.

19. COSTS, CHARGES & EXPENSES

19.1 All costs, charges and expenses including stamp duty and registration fee of any deed, document, instrument or order of the Central Government or the NCLT, as the case may be, including this Scheme or in relation to or in connection with negotiations leading up to the Scheme and of carrying out and implementing the terms and provisions of this Scheme and incidental to the completion of arrangement in pursuance of this Scheme shall be borne in the manner as may be mutually agreed to between the Board of Directors of the Demerged Company and the Resulting Company.

20. GENERAL TERMS AND CLAUSES

20.1 Upon the Scheme being effective, the Resulting is expressly permitted to revise its financial statements to give effect to the provisions of the Scheme.

20.2 Upon coming into effect of this Scheme, the Resulting Company is expressly permitted to revise its Income-tax returns, sales tax returns, excise & CENVAT returns, service tax returns, GST returns, other tax returns, etc. to the extent required. Resulting Company shall be entitled to get credit/claim refund regarding any tax paid and/or tax deduction at source certificates on or after the Appointed Date by the Demerged Company pertaining to the Demerged Undertaking.

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20.3 It is hereby clarified that submission of the Scheme to the NCLT and to Appropriate Authorities for their respective approvals is without prejudice to all rights, interests, titles or defences that the Resulting Company and the Demerged Company may have under or pursuant to all appropriate and applicable Laws.

Annexure 1 – Terms of Preference Shares

Issue price	INR 100 per share (Face Value INR 10 per share)
Dividend Rate	0.01% per annum
Accumulation of Dividend	Non-cumulative
Conversion terms/ Redemption terms	**Preference shares shall be Optionally Convertible or Redeemable Preference Shares** **Conversion Formula:** Number of equity shares to be issued = (Issue price of Preference Shares + Redemption premium) /

	Fair Value of equity shares as on the date of conversion **Redemption Value** = Issue price + Redemption premium Redemption premium = 6% p.a. on the issue price for the period beginning from date of issue of Preference Shares till the date of conversion/redemption
Tenure	Preference Shares shall be converted or redeemed at any time within a period of 20 years from the date of issue.
Right to exercise the option of redemption/conversion	Resulting Company shall have the right to exercise the option of redemption or conversion.

Annexure "B"

GANDHINAGAR HOSPITALITIES PRIVATE LIMITED

Registered Office: Plot No 235, Hotel Haveli, Sector -11, Gandhinagar-382011, Gujarat
CIN: U55101GJ2011PTC125942
E Mail ID: unitedgroup.compliance@gmail.com

Schedule of Assets

Name of Demerged Company	Gandhinagar Hospitalities Private Limited
Corporate Identification Number (CIN)	U55101GJ2011PTC125942
Registered Office	Plot No. 235, Hotel Haveli, Sector 11 Gandhinagar Gandhinagar GJ 382011 IN
PAN	AAJCA5978R
TAN	DELG16836B
GST Registration Number	24AAJCA5978R1ZR
PF Registration Number	GJAHD1355057000
ESIC Registration Number	37001065080001101

List of Assets forming part of the Demerged Undertaking of Gandhinagar Hospitalities Private Limited to be transferred to the Resulting Company (i.e. United Eduplus Private Limited) pursuant to the Scheme of Arrangement

1. **Details of Immovable Properties**

Free-hold properties

Sr. No	Survey Number / Plot No	Area in Square Feet	Description
1	Plot No 235 (Land of Hotel)	21,520	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
2	Hotel Building	60,686	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar

Lease Hold properties

Sr. No	Name of the Owner	Address of Property
Nil		

2. **Details of Movable Properties**

Details of Plant and Machinery

Sr. No	Nature of Property	Location Address
1	Plant & Machinery	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar

Details of Other Movable Assets

Sr. No	Nature of Property	Location Address
1	Furniture	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
2	Computers	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
3	Electric Installations	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar

For Gandhinagar Hospitalities Private Limited

DIRECTOR

4	Kitchen Equipment	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
5	Office Equipment	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
6	Software	Fortune In Haveli Hotel, Behind PVR Cinema, Near Kishan Circle, Sector 11 Gandhinagar
7	Vehicles	Gandhinagar

Other Stocks, shares, debentures, any other charges in action of the Demerger Undertaking

Sr. No	Particulars	Number of Shares	Face Value / Share	Total Face Value
Nil				

3. **Details of Bank Accounts**

Sr. No	Bank Name & City	Account Number	Type of Account
1	YES BANK	70963700000138	Current A/c
2	YES BANK	016LA02173640006	Loan A/c
3	YES BANK	016LA40203040001	Loan A/c
4	YES BANK	016LA40212520001	Loan A/c
5	YES BANK	016LAFT202660018	Loan A/c
6	YES BANK	016LAFT202690005	Loan A/c
7	YES BANK	70981300000072	Loan A/c
8	ICICI Bank	2759317	Loan A/c
9	YES BANK	TL 21.86 Cr 2173640006	Loan A/c
10	YES BANK	TL 50L 2190840001	Loan A/c

4. **Details of Vehicles**

Sr No.	Vehicle No	Vehicle Details
1	GJ18BD9575	Toyota Innova Car
2	GJ18BD9916	Toyota Innova Car
3	GJ18AT2769	Pickup Vehicle
4	GJ18BP7536	Wagan R Car

5. **Details of Licenses / Certificates**

Sr No	Certificate No.	Date	Description	Period VALIDITY
Fire Safety Certificate	GFES/R-1/057/2022	23-03-2022	FIRE SAFTY AND FIRE PROTECTION	22-03-2024
GPCB	AWH-46316	18-04-2021	Pollution certificate	04-04-2026
Gandhinagar Municipal Corporation	GMC-HR008000002	04-01-2023	SHOP & COMMERCIAL Act	ONE TIME
Food Safety Standards	LICENCE NO-10715027000078	11-08-2021	Food Safety Licence	06-08-2024

For, Gandhinagar Hospitalities Pvt Ltd.

Gandhinagar Hospitalities Private Limited

DIRECTOR

Director